

Boston's Empty Lab Towers Show Speculative Capital Meets Its Match

32.7% lab vacancy and a \$540M empty tower reveal the cost of building on demand assumptions that expired.

The most important number in Boston's lab market is not the 32.7 percent vacancy rate. It is the \$540 million that PGIM Real Estate and Wheelock Street Capital lent against a building that has never collected a dollar of rent. 10 World Trade is complete. It is empty. And it is not alone.

The Seaport holds 601 Congress Street at nearly 500,000 square feet, 2 Harbor at 430,000 square feet, and 19 Fid Kennedy Avenue at 250,000 square feet. All vacant. All built on the assumption that 2022 demand would persist into 2026. That assumption was wrong. The capital that financed it is now sitting inside an asset with no cash flow, no lease-up timeline, and no obvious exit.

Boston Global Investors began construction in 2022 when lab vacancy hovered around 1 percent. Speculative development looked rational. Biotech was flush with venture funding, tenants were competing for space, and lenders were underwriting rent growth that had not yet peaked. The math worked on paper. By the time 10 World Trade delivered, the market had flipped. Lab vacancy hit 32.7 percent. Asking rents dropped.

Biotech funding recovered modestly but not enough to absorb the wave of new supply. The building's 570,000 square feet entered a market that did not need it. The capital stack reveals the tension. PGIM and Wheelock provided more than \$540 million in financing. That is not a construction loan that converts to permanent debt upon lease-up. It is a bet that the building would lease quickly at rents that justified the basis.

That bet has not paid off. Lenders have remained patient, according to BGI vice president John Hynes IV. Patience is the right word. Foreclosing on a vacant spec tower does not improve the asset. It just transfers ownership to a lender that does not want to be a landlord. The better move is to wait, hope for demand to return, and avoid marking the loan to reality. But patience has a cost.

Interest does not stop accruing. Property taxes, insurance, and operating expenses continue. The building's \$10 million smart glass system and rooftop solar panels do not generate income. They generate carrying costs. This is the hidden risk in the spec development cycle. Construction lenders underwrite to completion and lease-up. When lease-up does not happen, the loan becomes a problem with no obvious solution. The borrower cannot refinance without income.

The lender cannot exit without a loss. Both sides wait for a tenant that may not arrive soon. The market is not broken. It is repricing. Biotech funding has started to rise. Asking rents have fallen from peak levels. At the right price, space will move. But 10 World Trade was built at peak costs with peak rent assumptions. The basis is too high for today's market.

The building will lease eventually, but at rents that do not support the original underwriting. That is the real signal for capital markets. Spec development is not dead. But the cost of being wrong has just been demonstrated in plain sight. Lenders will tighten underwriting on lab projects. Developers will require pre-leasing. Equity will demand higher return thresholds. The cycle is not ending. It is resetting. Who benefits? Tenants.

They now have negotiating leverage they did not have in 2022. Landlords with vacant spec towers will offer concessions, free rent, and tenant improvement allowances to fill space. The next lease signed at 10 World Trade will tell the market exactly where rents have settled. Who is exposed? The lenders. PGIM and Wheelock are not in trouble today.

But they are carrying an asset that generates no income in a market that is still absorbing supply. Every month of vacancy is a month of negative carry. At some point, patience becomes a balance sheet problem. The next phase of the Boston lab market will not be defined by who built the best building. It will be defined by who can afford to wait.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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